

Making India Move Better

From initially facilitating 500 rides daily to 1.5 million rides now, Rapido's rise is a testament to its ground-level awareness of real problems *By Perna Lidhoo*

IN THE RULE BOOK of running a successful start-up, embracing failure will probably be amongst the top to-dos. But if, in October 2015, the founders of theKarrier—a failed logistics start-up—were told that they could reach a valuation of \$820 million in 2023, they would have been incredulous. In 2015, the founders decided to pivot their one-year-old start-up to what is now known as Rapido, a ride-sharing bike-taxi platform.

46 | How did the founders come together? High-school buddies Aravind Sanka and Pavan Guntupalli—who were working with Flipkart and Samsung, respectively, then—attended a summer programme in 2014. That is where their paths crossed with Rishikesh S.R. The trio decided to get together and start theKarrier as they realised that there was a market gap for intra-city trucks. But due to scaling and credit-availability issues, they had to pivot. This time, Bengaluru's traffic situation provided the inspiration. They realised that people wanted an affordable daily commute. That turned out to be the right call.

Now, Rapido is ready to challenge the cab-hailing biggies for a slice of the pie. Its unique proposition? Instead of the prevalent commission model that charges close to 30 per cent on each ride from the driver, Rapido banks on a subscription model. This option makes it cheaper for the consumers as well. "The cab-hailing industry has been stagnant for the last five years. The subscription model will help grow that. We wanted to do something that is not just accessible to the top 7 per cent of the population, but millions of people who live not just in the Bengalurus and Delhis but also the Patialas, Siliguris and Jaipurs of India," says Guntupalli. He expects cab-hailing to contribute

15-20 per cent to the business in the next two years.

While Rapido was aggressively growing in the bike and autorickshaw segments, players such as Uber and Ola were disrupting the cab market. But Guntupalli noticed that it was an exclusive affair for the elite. "Of course, the cab operators brought some efficiency and technology into the market, but despite all this revolution, 10 years later, how come the buses are still overcrowded and people are still going through such a hassle while booking cabs?"

In metropolitan cities such as Mumbai and Delhi, people travel by cabs, but things are different for cities such as Faridabad, Aurangabad or Jabalpur, says Sanka. "People in those cities travel in unconven-

Rapido's focus on growth is centred around leveraging existing infrastructure to cater to more people without compromising on convenience or safety

